



Slice of the cake

To raise money, businesses will sell off a part of their company. Those who buy the slices become shareholders who are able to influence how the company is run.



LIMITED LIABILITY

If a public company fails and piles up huge debts, shareholders only ever have to pay the cost of their initial investment. The company alone is responsible for its debts. This is called “limited liability.” Limited liability is the norm in most countries because too many investors would be put off by the risk of financial disaster if they were made liable for all of the company’s debts.